

ECO102: Introduction to Macroeconomics

Lecture 13: Finance, Saving, and Investment Contd.

Wasama Ahmed Khan

BRAC University

Fall 2025

Outline

- ❑ [The Demand for Loanable Funds](#)
- ❑ [Changes in The Demand for Loanable Funds](#)
- ❑ [The Supply for Loanable Funds](#)
- ❑ [Changes in The Supply for Loanable Funds](#)
- ❑ [The Supply and Demand of Loanable Funds](#)
- ❑ [Equilibrium in the Loanable Funds Market](#)
- ❑ [Changes in Demand](#)
- ❑ [Changes in Supply](#)

The Demand for Loanable Funds

- The ***quantity of loanable funds demanded*** is the total quantity of funds demanded to finance investment, the government budget deficit, and international investment or lending during a given period
- The ***demand for loanable funds*** is the relationship between the quantity of loanable funds demanded and the real interest rate, when all other influences on borrowing plans remain the same
- The quantity of loanable funds demanded is ***greater***, the ***lower*** is the real interest rate
- Two key factors influence the demand for loanable funds:
 - **The real interest rate**
 - **Expected Profit**

Changes in The Demand for Loanable Funds

- When the expected profit changes, the demand for loanable funds changes
- Other things remaining the same, the **greater** the expected profit from new capital, the **greater** is the amount of investment and the greater the demand for loanable funds, ***causing the demand for loanable curve to shift to the right***
- Expected profit can:
 - rise during a business cycle expansion and fall during a recession
 - rise when technological change creates profitable new products
 - rise as a growing population brings increased demand for goods and services
 - fluctuate with contagious swings of optimism and pessimism

The Supply for Loanable Funds

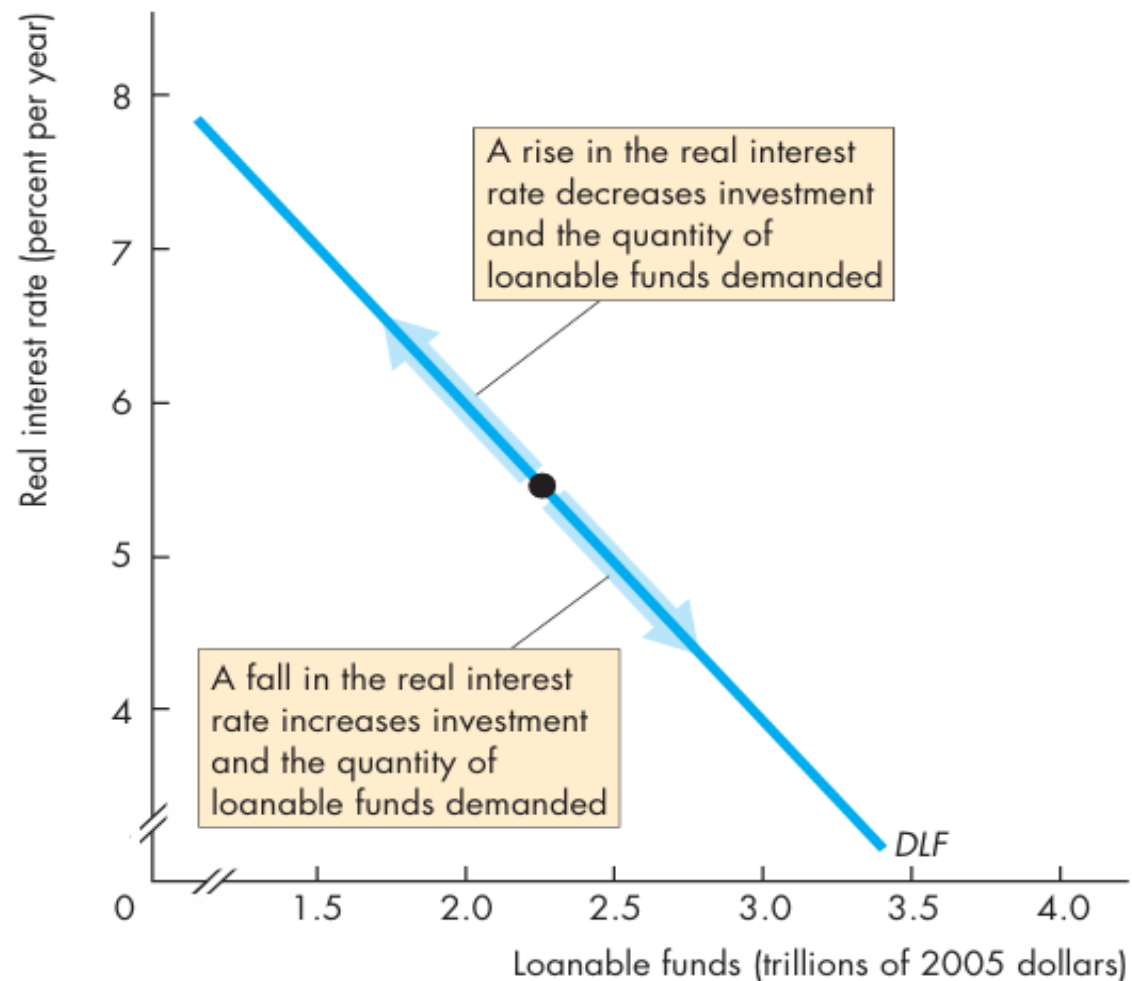
- The ***quantity of loanable funds supplied*** is the total funds available from private saving, the government budget surplus, and international borrowing during a given period
- The ***supply of loanable funds*** is the relationship between the quantity of loanable funds supplied and the real interest rate when all other influences on lending plans remain the same
- The quantity of loanable funds supplied is greater, the greater is the real interest rate
- Key factors that influence the supply for loanable funds are:
 - **The real interest rate**
 - **Expected Future Income**
 - **Disposable Income**
 - **Wealth**
 - **Default Risk**

Changes in The Supply for Loanable Funds

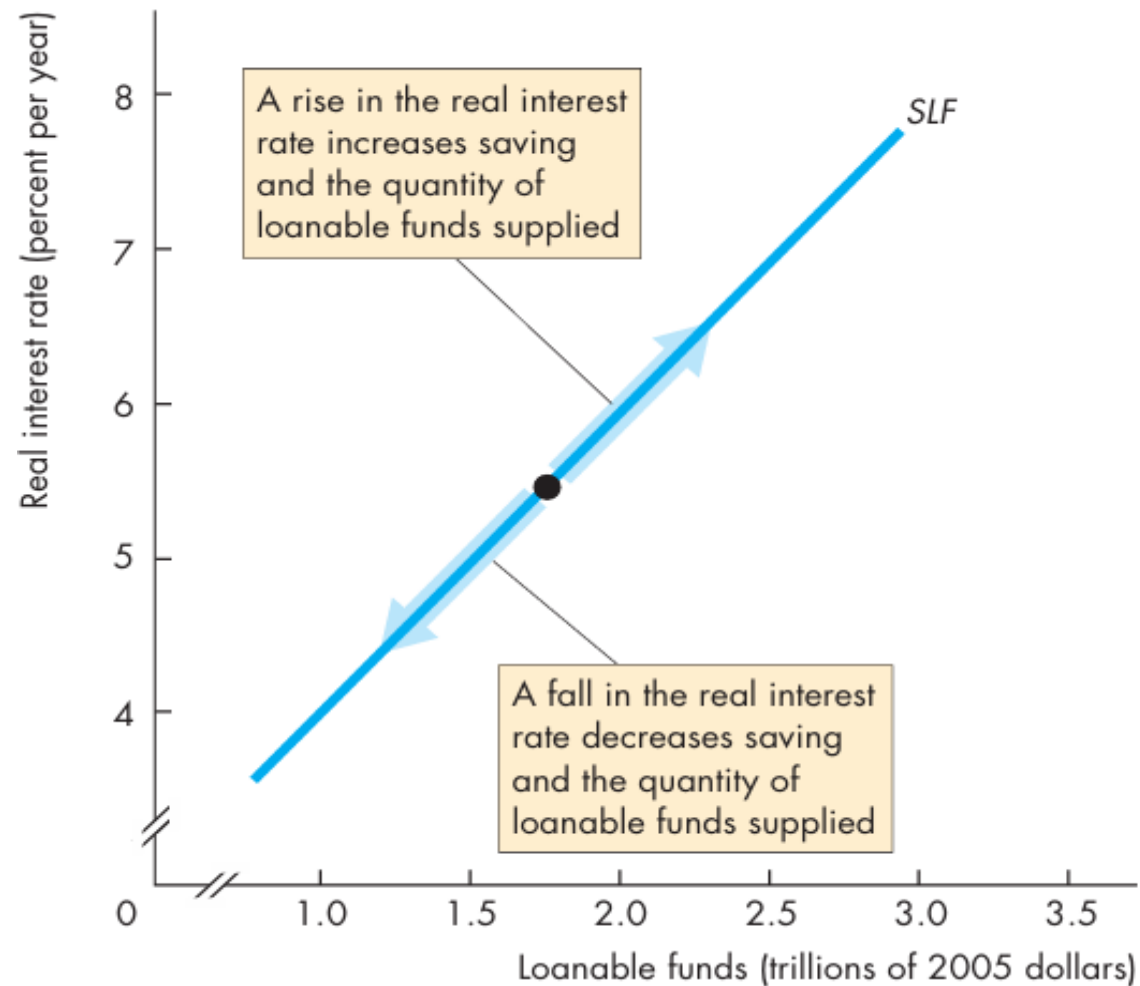
- ***Expected Future Income:*** The higher a household's expected future income, other things remaining the same, the smaller is its saving today
- ***Disposable Income:*** When disposable income increases, other things remaining the same, consumption expenditure increases but by less than the increase in income

Some of the increase in income is saved leading to a greater quantity of loanable funds supplied, other things remaining the same.
- ***Wealth:*** The higher a household's wealth, other things remaining the same, the smaller is its saving; . If a person's wealth increases because of a capital gain, the person sees less need to save
- ***Default Risk:*** The greater is the default risk, the higher is the interest rate needed to induce a person to lend and the smaller is the supply of loanable funds
- ***An increase in disposable income, a decrease in expected future income, a decrease in wealth, or a fall in default risk increases saving and increases the supply of loanable funds***

The Supply and Demand of Loanable Funds



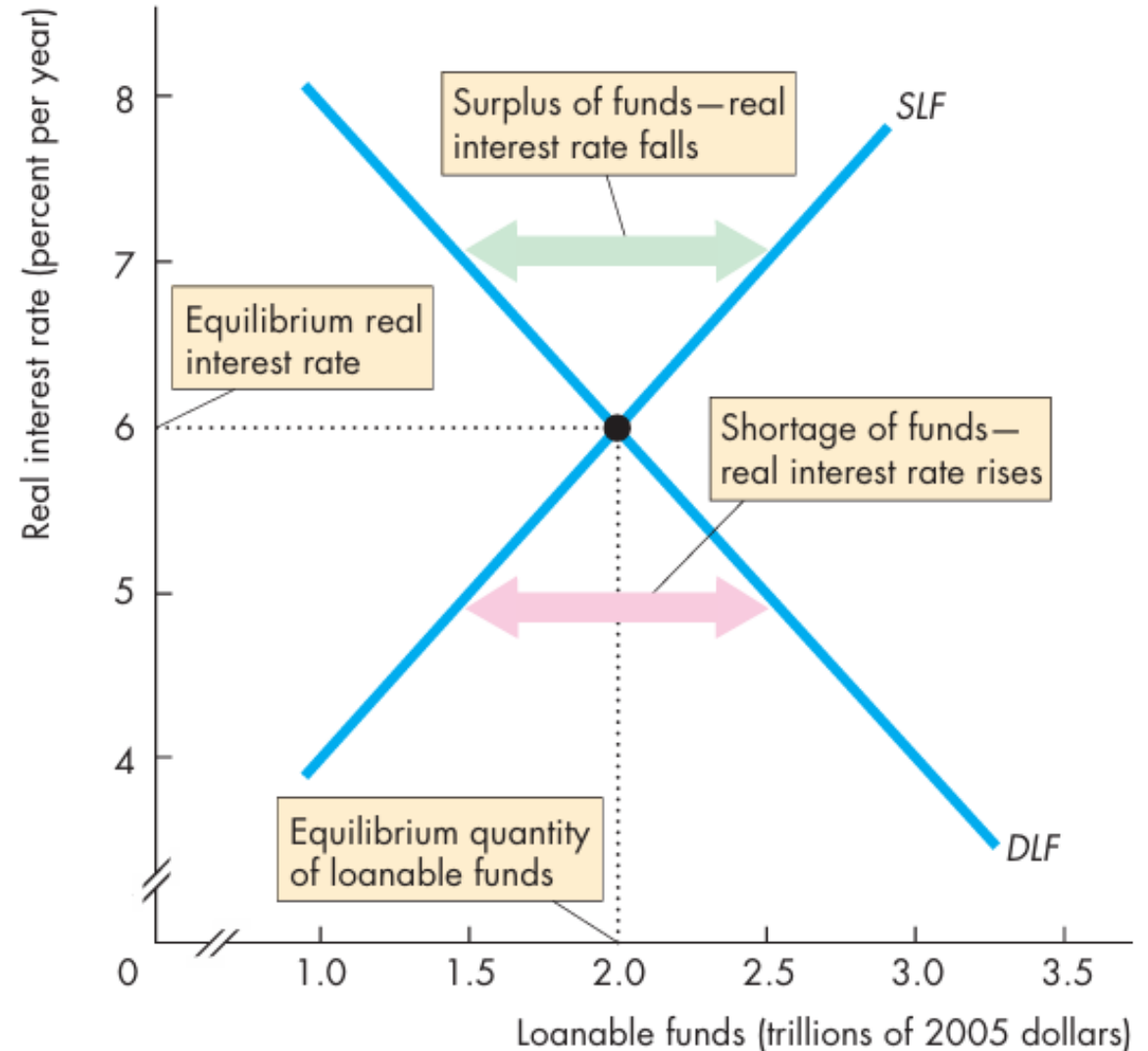
Demand for Loanable Funds



Supply of Loanable Funds

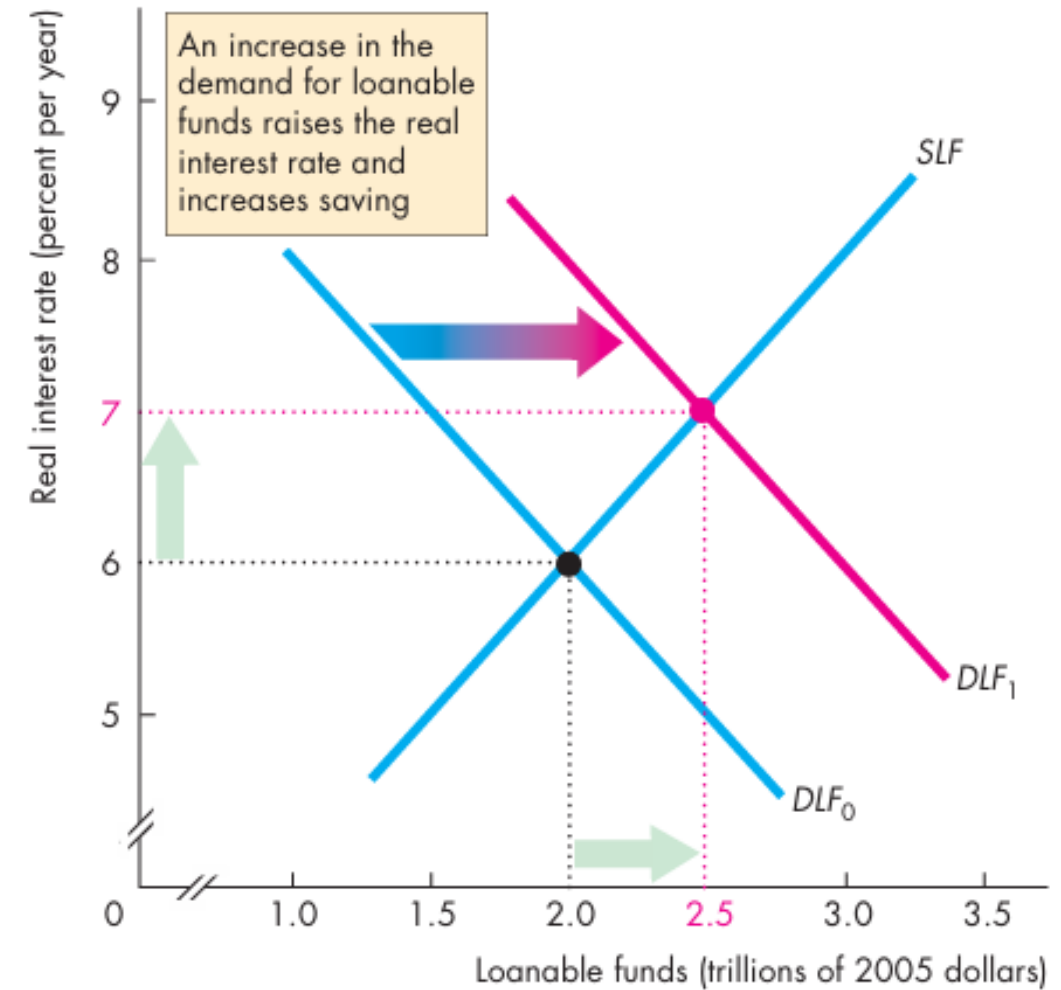
Equilibrium in the Loanable Funds Market

- If the real interest rate exceeds 6 percent a year, the quantity of loanable funds supplied exceeds the quantity demanded; a surplus of funds
- Borrowers find it easy to get funds, but lenders are unable to lend all the funds they have available. The real interest rate falls and continues to fall until the quantity of funds supplied equals the quantity of funds demanded
- If the real interest rate is less than 6 percent a year, the quantity of loanable funds supplied is less than the quantity demanded; a shortage of funds
- Borrowers can't get the funds they want, but lenders are able to lend all the funds they have. So the real interest rate rises and continues to rise until the quantity of funds supplied equals the quantity demanded.



Changes in Demand

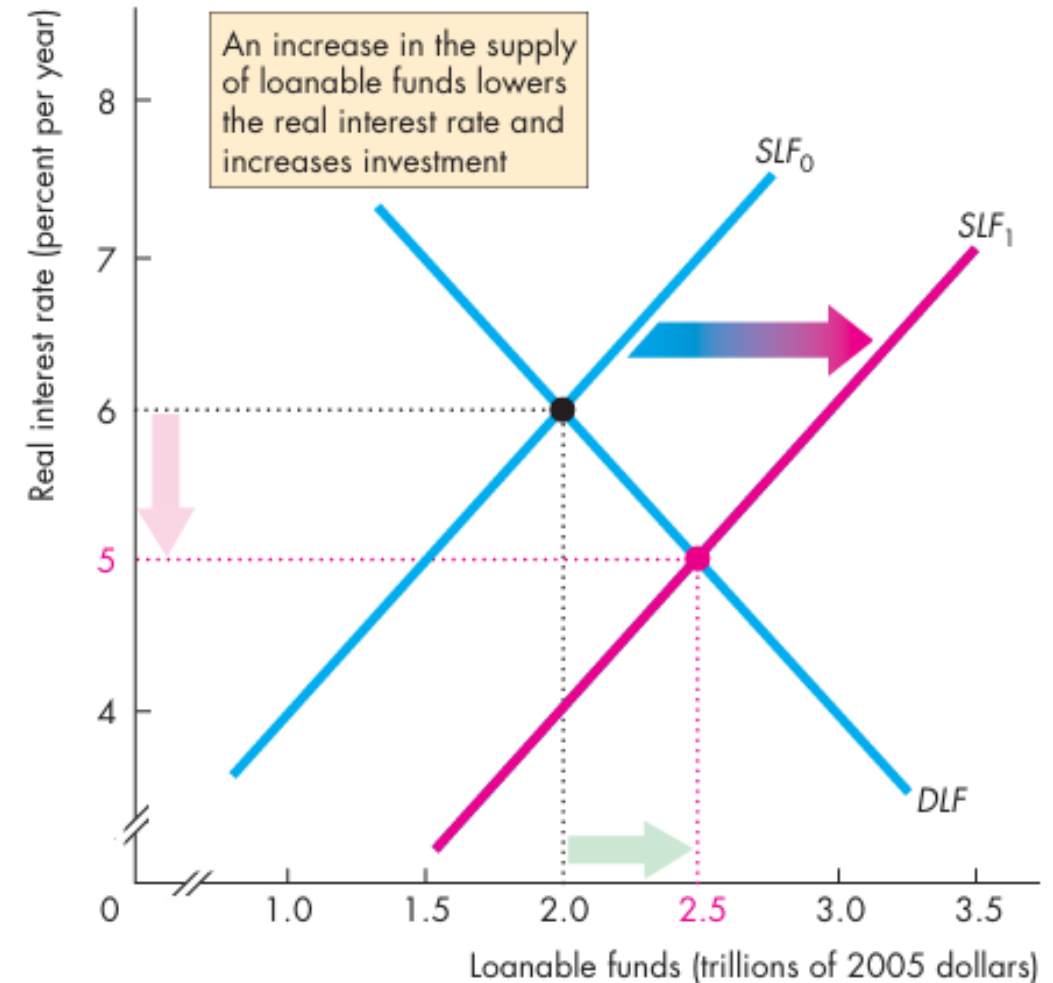
- If the profits that firms expect to earn increase, they increase their planned investment and increase their demand for loanable funds to finance that investment.
- With an increase in the demand for loanable funds, but no change in the supply of loanable funds, there is a shortage of funds
- As borrowers compete for funds, the interest rate rises and lenders increase the quantity of funds supplied



(a) An increase in demand

Changes in Supply

- If one of the influences on saving plans changes and increases saving, the supply of loanable funds increases
- With no change in the demand for loanable funds, the market is flush with loanable funds
- Borrowers find bargains and lenders find themselves accepting a lower interest rate. At the lower interest rate, borrowers find additional investment projects profitable and increase the quantity of loanable funds that they borrow



(b) An increase in supply